

Section 5

Transforming the Organization

Chapter 5

Agile: Key Insights

Agile is not just about project planning and software development but is applicable to all business functions including strategy and planning; to be agile you have to simplify your processes and empower teams to drive outcomes; in a world where you cannot predict developments beyond the next six to twelve months, the 'fail fast' approach works best, and you have to get accustomed to not working and operating sequentially.

Key Takeaways

8 key insights on Agile adoption

Lesson 1: Eight key insights from Agile training

1. **The business world is changing at an unprecedented pace and with that the traditional rules of management (Structured and stable are passé).** The combination of technology innovation, shortening business cycles, hyper competition and shifting of traditional markets in the digital age is creating unprecedented uncertainty and a high velocity of change. This implies that the management rules developed for a more structured, stable environment will almost certainly not work. This is a great challenge for managers (especially those of us above the age of forty!) as we probably need to unlearn what has made us successful so far. {I have shared perspectives on the New rules of business in detail in Section 1 of this book}
2. **Speed is king ('Fail fast' and move on is the new mantra).** One of the stark insights from the training was that a typical business requirement has a life of six months. This makes any long- drawn plans and execution cycles totally irrelevant! Therefore, the focus on short delivery sprints to deliver working software over comprehensive documentation. I also loved the concept of 'fail fast' – trying something, getting fast feedback, and then adapting or terminating it before more money is spent. It also reinforces the virtues of 80/20 thinking, something all of us know but don't always practice!
3. **Dealing with uncertainty (Build for today, design for tomorrow).** Given the unprecedented velocity of change there is little point trying to predict the future. I loved the mantra 'build for today, design for tomorrow'; instead of solving for the very long term, we should handle present requirements efficiently (and quickly) but keep the design open/extensible for future requirements (which are not yet clear). I also liked the concept of 'cone of uncertainty', which says the only way to reduce variability in the estimate is to reduce variability in the project itself. This implies that the focus needs to be on smart decisions and actions that will help reduce variability.

4. **Customer collaboration is key (Getting close to the customer and building trust).** Given the combination of uncertainty and need for speed, to achieve success it is paramount to be very close to the customer. You have to get the customer requirements/pain points spot on and be very connected to understand any changes in real time. This requires significant change in mindsets and operating models, from delivering to a contract over a period of time to real-time customer collaboration, frequent deliverables where you get feedback and, most importantly, building strong trust.
5. **Keep it simple (Turn to the most important needs of your most important customers):** Complexity is the antithesis of Agile. The key to meeting expectations of speed from the enterprise is to have simple solutions. This means that instead of trying to do everything afresh, one must use standard platforms and reuse components where possible. This also means that we should avoid customizing and attempting to solve every possible customer need but focus instead on addressing the most important customer needs of our most important customers.
6. **Linear thinking is out (From thinking and planning to doing).** You do not have the time to develop a nice sequential plan and almost certainly will not have the opportunity to follow it in a structured fashion. You have to be nimble and ready to respond to change. This also calls for a shift in managerial focus, from thinking and planning to doing. As the instructor said, 'to understand, do!' It is only by being very connected to the action that managers pick up the changes quickly enough and respond to them decisively without getting into long 'analyse-plan-approve-do' cycles.
7. **Self-organize rather than manage (Empower people, tolerate failure).** A key mantra of the agile approach is the focus on individuals and interactions over processes and tools. This requires a significant shift in our approach to people. Instead of trying to manage teams, we need to empower people. We need to break our hierarchical mindsets and processes. Very importantly, we will also need higher tolerance towards failure.
8. **Agile is not just about software development (It applies across the business).** Agile is clearly a significant and necessary shift in our approach to software development. However, it is not just about that. For example, I can see how the fundamental principles of Agile are equally relevant for strategy development and business planning work. The underlying driver of high-velocity change is common across business areas and functions, and thus the agile concepts are something that can and need to be applied across business/project situations.

Nitin's conclusion:

This training triggered self-reflection; the world is changing fast and therefore the need to revisit mental models and approaches. I will conclude this chapter with one of the opening comments the Agile instructor made, 'There are no best practices, only good practices.' The time for hubris is over, the time for learning is now!

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Chapter 4

Innovation - A Call to Action

Understanding innovation from the Indian IT/BPM Industry:

- The value proposition of this industry was built on high-quality, low-cost technology talent, ability to scale up at speed, customer responsiveness and a strong process orientation.
- However, due to the impact of digital transformation and the changing expectations of the customer, the ask from Indian IT/ BPM firms has changed significantly.
- The Indian IT/BPM industry needs to step up its game when it comes to innovation. It cannot afford incremental approaches anymore and needs to place bigger bets on product and business model innovation.
- To step up to the challenge, the IT industry will need to go beyond its long-standing success formula, step up its innovation budget commitments, better understand customer pain points, and explore collaboration with start-ups and acquisition of firms with niche skills.

Key Takeaways

Why the Indian IT/BPM industry has not realized its innovation potential

What the IT/BPM industry needs to do

Lesson 1: Why the Indian IT/BPM industry has not realized its innovation potential

There are four types of innovation: process, product, customer experience and business model. The Indian IT/BPM industry has done well in the first type of innovation (process) but has struggled to be innovative in the other three. That raises the question as to why the industry has not realized its innovation potential, despite the market imperative for innovation being so strong and the industry having so many of the required ingredients in place.

There are five key issues that have hampered progress on this front:

1. **It is difficult to change a success formula.** It is undeniable that the Indian IT/BPM industry has been a spectacular success story over the past couple of decades – showing steady revenue growth, dominating market share and high profitability. It has been built on a business model based on availability of high-quality, low-cost technology talent, ability to scale up at speed, customer responsiveness and a strong process orientation. It has led to the creation of world-class mega companies like TCS, Infosys, Wipro and HCL, and also a host of successful mid-tier companies. However, digital is changing customer expectations. There is a greater need for design thinking, change

management, agile delivery and a number of new technology and management competencies. These changing expectations call for a more intense engagement model, a broader range of skills, more product depth and an iterative operating model. This runs counter to the scale-based efficient service factory model that the IT/BPM industry has executed so well all these years. It is not easy to change a success formula that has worked well for so long. The relatively steady growth and good financial performance of the Indian IT/BPM industry perhaps do not result in a 'burning platform' for driving innovation as a priority.

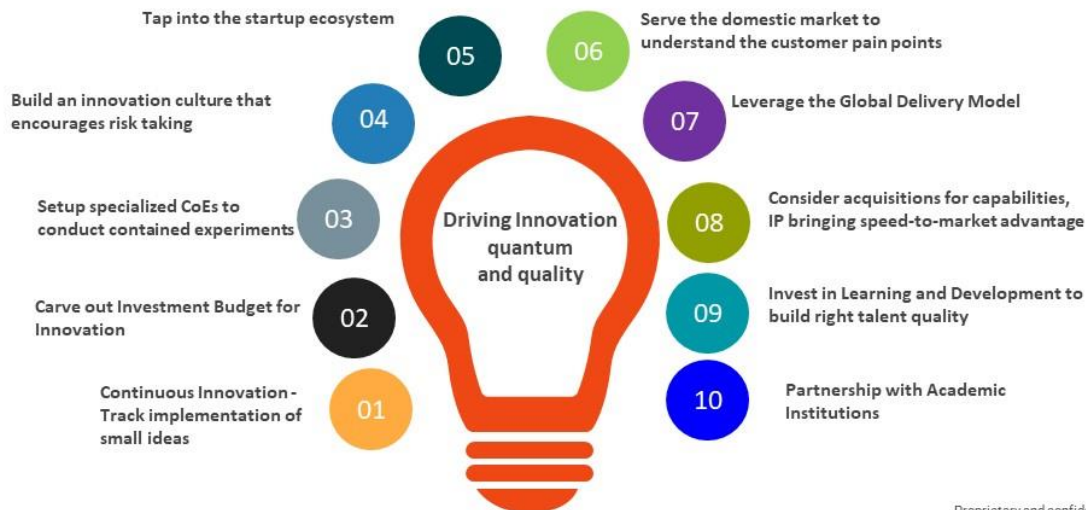
2. **Driving product innovation in a services business model is tough.** As both time-to-market expectations and technology cycles keep getting shorter in the digital age, companies are changing their 'build versus buy' criterion and shifting more towards buying products and IP. This trend means that Indian IT/BPM companies need to step up on product innovation. Driving product innovation in a services business model is a big challenge. The organizational DNA is very customer-delivery focused, where expectations are clear and typically set by the client. A product mindset, which requires more thought leadership, tolerance for ambiguity and self-direction, is difficult to build and to co-exist within a services model organizational culture. Moreover, the financial and operating KPIs and framework of services companies do not support the requirements of product innovation.
3. **Lack of deep understanding of customer pain points.** Indian IT/BPM companies typically have good technology and process skills but lack in domain depth and end-customer understanding. The starting point of any product, customer experience or business model innovation is a deep understanding of customer pain points. Often, I see a lot of enthusiasm about innovation in Global Delivery Centres (GDCs) in India and many well-intentioned efforts, but lack of deep understanding of customer pain points means that these efforts often end up missing the mark. Deep end-customer understanding is not easy to build. It is not about general knowledge or theoretical knowledge but about a direct set of experiences that leads to a deep and intuitive understanding of the end customer.
4. **Short-term orientation.** Perhaps it is a natural outcome of the services-oriented business model or perhaps it is a broader cultural issue, the short-term orientation you often see in Indian IT/BPM companies is not conducive to driving substantial product or business model innovation. Such innovation calls for long investment cycles and extended payback period expectations. I see many well-intentioned innovation initiatives getting off the ground, but many are not able to stay the course as their executives run out of patience or move on to the next big thing!
5. **Lack of deep tech and problem-solving skills.** While the entire basis of the IT industry in India is access to abundant tech talent, paradoxically there is a shortage of deep tech talent in the country. One of the characteristics of the digital age is the rise of emerging technologies like AI, cloud and automation. These technologies are still evolving and offer tremendous opportunities for development and innovation, which the Indian industry is not fully capitalizing on. The other shortcoming in talent lies in its problem-solving skills. The service factory model that the Indian industry has focused on does not allow for development of problem-solving skills of the nature needed to drive significant innovation.

Lesson 2: Unlocking innovation potential

Stepping up the game on innovation is not a quick fix. Sustained action is needed in multiple areas. The following ten action areas are important for the Indian IT/BP



Innovation - Ten action areas



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industry to unlock its innovation potential:

1. **Continuous innovation.** We search for game-changing ideas, but we must never forget the small ideas. They can add up to significant impact. Ideation platforms that allow employees to share their ideas on different problem statements can be very powerful. Regular hackathons can also be very effective. However, just generating ideas is not enough. Processes must be established to follow up these ideas and track their implementation.
2. **Investment budget.** It is important to carve out a specific budget for innovation. Innovation does not arise from mere good intentions; hard dollars need to be committed to innovation initiatives.
3. **Centres of excellence.** It is helpful to build specialized capabilities separately from your core service lines. They can provide you the flexibility to experiment with different talent profiles and not be limited by the operating models of your core capabilities. They can allow you to do contained experiments at high speed. Such centres of excellence (CoEs) played a critical role in the breakthrough innovation we were able to achieve at the McKinsey Knowledge Centre (McKC). {Case study shared in Chapter 6 of Section 4}
4. **Culture of innovation.** You need to reinforce the 'creative confidence' of the staff. You must build a culture where risk taking is encouraged and new ideas supported. Moreover, it is important to create a buzz in the organization around innovation. Clear signalling from senior management and sustained employee engagement are needed to build innovation momentum.
5. **Collaboration with start-ups.** There is now a vibrant ecosystem of start-ups in India. They are also being supported by NASSCOM and a host of other incubators. It is likely that breakthrough innovation happens not in large companies but in start-ups. Therefore, it is imperative that larger companies

stay engaged with the start-up ecosystem and keep scouting for partnership opportunities.

6. **Serving the domestic market.** One of the challenges in driving innovation for Indian IT/BPM companies is getting to understand customer pain points deeply when the customer is in a different continent. Engaging with the domestic market can provide you the proximity and market content for experimentation. For example, partnership with the India office was a critical enabler of the experimentation we were able to drive at the McKinsey Knowledge Centre, which had a global remit.
7. **Leveraging the global model.** Most Indian IT firms now have global delivery models. 'Onshore-offshore' collaboration can be a win-win. Onshore can bring a deeper understanding of customer pain points and offshore can provide the scale advantage.
8. **Acquisitions.** Indian IT/BPM firms have typically approached M&A with the objective of expanding their market coverage. They need to look at M&A as a way of acquiring niche capabilities and IP, which can give them a time-to-market advantage.
9. **Investment in learning and development.** Deep tech talent and problem-solving skills are key gaps for Indian IT companies, and these are also the foundational skills required for innovation in the digital age. Sustained investment in learning and development needs to happen to build these skills to the right quality.
10. **Partnership with academic institutions.** Talent is the foundation for innovation in the IT industry, and to acquire it companies need to look beyond their boundaries and to the broader supply chain. Companies need to consider partnering with select universities to ensure that the curriculum and teaching reflect their needs. This requires not just investment in internships and industry projects, but also active engagement in the teaching process.

Nitin's conclusion:

Clearly, innovation is an imperative for the Indian IT/BPM industry in the digital age, whether it is for the larger companies, start-ups or product companies. There needs to be a call to action to leaders and companies to spark and sustain significant innovation journeys in their organizations. Equally, it is a challenge and responsibility for industry bodies like NASSCOM to help create an ecosystem that ignites a culture of innovation.

Additionally, innovation is a critical requirement for every industry in the digital age. In fact, technology, customer experience and business model innovation constitute the entire foundation of the digital age. I believe lessons from this chapter are widely applicable in other industries too.

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Chapter 6

Learning to Reinvent for Tomorrow

Every organization has to focus on continuous learning for its employees to adapt to the changing needs of the digital age. The Learning and Development (L and D) function, if leveraged well, can be used to build enterprise capability as well as provide it a competitive advantage. L and D priorities should help the organization meet its short-term and long-term goals by building strong technical, professional, leadership and change management capabilities. For the learning process to be effective, the content should have a degree of personalization, be byte-sized and virtual, and drive a culture of self-directed learning.

Key Takeaways

Five key shifts in the L&D space

Learning and Development action areas and challenges

Lesson 1: Five key shifts are being witnessed in the Learning and Development space

Learning & Development - Five key shifts

 **Digital Fundas**
A CSR initiative of Incedo



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1. A shift from **one-size-fits-all learning to a high degree of personalization**. Technology is now a mature industry and there are diverse set of needs. While there is growing demand for new, digital skills (AI, Data Science, Cloud etc), a large volume of demand is still there for legacy skills. This calls for a segmented approach.
2. There has been a shift from **standard predetermined push- based sessions to byte-sized self-directed learning sessions**. The classic delivery model was a classroom-based model with standard full-day training sessions, which involved dedicated time away from work. The new ask from trainees involves:
 - Byte-sized learning that can be consumed by the learners at their own pace.
 - They want to do this virtually and quickly, embedding it in their day-to-day work schedules.
3. As a result of the above two shifts, **learning is becoming multi- dimensional and channel-agnostic** which involves innovative approaches so that millennials are engaged. This includes but is not only limited to:
 - On-the-job learning aided by mentors on critical projects.
 - Blended learning, through videos, etc., on digital channels accessible through various devices.
 - Group social learning where the learners can converge around common topics of interest and share notes and projects.
4. Another interesting shift is **from technologies to focus on core competencies like Problem solving, communication and leadership skills**. Select IT companies have already recognized the need for these core competencies at scale and begun different programs to train the workforce.
5. The final shift includes moving away **from physical certificates to learning passports and creation of a digital reputation** for the learner on social media that is verifiable.

Nitin's insights:

The velocity of technology and business change is unprecedented; product and technology cycles are becoming shorter and customer expectations are changing rapidly. Additionally, the Covid-19 pandemic has catalysed digitization. As a result, firms have started recasting enterprise-wide processes to adapt to the needs of their internal target audience – the employee, who is digitally savvy, demands high-quality solutions and is not ready to wait. Additionally, everything has gone virtual and prior degrees of separation with respect to distance, geographies and time zones have been eliminated.

All these forces at work have made learning a strategic priority for organizations across industries and across the globe. Every organization has to focus on continuous learning for its employees and on building a learning culture to meet the changing expectations to stay competitive in this digital age. The way I see it is, these transformational forces are resulting in a complete reimagination of every aspect of the learning and development (L and D) function, and potentially the L and D industry.

Lesson 2: What should Learning and Development action areas be?

1. **Developing organizational capability to deal with the VUCA world:** Every organization has to focus on continuous learning for its employees to meet changing expectations and stay competitive in the future. This entails:
 - **Empowering employees by building core competencies:** In this rapidly evolving environment it is important to empower employees by helping them build key competencies such as problem solving, business communication, stakeholder management, time management and project management through bite-sized training and video sessions.
 - **Building business acumen to better understand customer context:** It is very critical to have deep functional domain or business/vertical specializations to deliver high-quality customer-centric solutions. It is important for employees to build business acumen and align their learning priorities to a domain. This can help them understand the client context and pain points better.
 - **Creating leaders who build high-performing teams:** This involves developing leaders who are no longer the command and control type but will influence, inspire and enable innovation within teams. The new breed of leaders consists of those who will be successful in building high-performing teams, who are resilient to change and are able to drive high-quality outcomes for team members who are geographically dispersed and working virtually.
 - **Change management training:** Change is a given in these turbulent times. It is important to not just help build the change management expertise of the enterprise leadership team but also to help them stay connected and navigate changes.
 - **Opportunistic technical skill upgrades aligned to projects and initiatives:** This involves two levels of development efforts:
 - **Drive to multi-skill employees** – Businesses will continue to work on projects with legacy skill requirements. While we should train employees in legacy skills, investment in multi-skilling is necessary to ensure the workforce is fungible and can be rotated across projects. This is not just about 'resource utilization' but helps the workforce stay engaged and relevant.
 - **Building future-ready skills** to ensure businesses have a workforce trained in emerging technologies and ready to be deployed on new projects.
2. **Building fit-for-purpose infrastructure and technology that delivers content, tracks progress effectively** – In the digital age, the ability to position curated content in small consumable bite-sized modules is the most effective way to enable learning. The delivery of this content is needed to be increasingly virtual and accessible across devices. A fit-for-purpose technology infrastructure is critical to monitor learning journey maps that records progress against individual development plans. Further, enterprises need platforms or channels to attract learners and engage in group learning, creating processes that involve a seamless handshake between self-directed and social learning. This enhances the overall user experience as boundaries are blurring between these two distinct styles.
3. **Build a learning culture** – Drive focus on learning by making it part of performance appraisal while ensuring org wide access to learning programs and platforms. Additionally, partnerships with learning organizations and institutions that are centres of excellence, academia and other institutions of

excellence to keep up with emerging technologies is key to driving a learning culture.

4. **Tracking impact of learning** – This is an evolving area of the L and D function. Organizations have been trying to define metrics that go beyond tracking learning activities to understanding impact and return on investment. The key drivers for it are
 - L and D is now mission critical for many enterprises and they are depending on it to develop capabilities that are enabling them to compete and/or differentiators in business performance. Therefore, it is natural that there is an expectation to measure the impact of L and D in terms of business metrics.
 - For example, reduction in cycle time to make a new hire effective on the job is fundamental to revenue recognition for technology services companies.

Nitin's conclusion:

The costs of not getting L and D right or falling behind in this race have serious implications for business readiness. The workforce of tomorrow as well as the jobs of tomorrow will likely be very different from what they are now. This talent is not “off-the-shelf” and has to be developed. Therefore, L and D has to step up and deliver on the talent and capabilities necessary for enterprises to compete.

Also, it is important to recognize that the L and D space is continuously evolving, and nobody has all the answers. Therefore, leaders need to have an open perspective, I would say a ‘learner’s mindset’ as they approach the topic of L and D for their organizations. I would like to leave you with four key challenges that enterprises will need to address on L and D. Continued reflection on these will help you realize the full promise of L and D:

- How do we build a consistent learning culture, aligning workforce from different regions, backgrounds and time zones?
- How do people develop empathy and contextual intelligence to seamlessly work with others?
- How do we address technology infrastructure challenges to deliver high-quality training, personalize it and create enriching virtual experiences?
- How do we build problem-solving, leadership skills and other soft skills at scale, which are typically best learned through an apprentice model? Furthermore, how do we build these competencies through a digital medium to a dispersed and virtual workforce?

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Chapter 3

Knowledge Management - a Key to Differentiation in the Digital Age

There is a need for a shift in approach from vesting know-how with a small cohort of experts to a systematic method of knowledge management. This will involve:

- Building effective knowledge management capabilities and enabling the knowledge cycle. You will need to identify the different types of knowledge needs, as per business priorities. Second, you will need to clearly establish the knowledge experts and those who need the knowledge. And third, you will need to finally establish processes and invest in the technology to ensure that the required knowledge is available to the seekers on a timely basis.
- Establishing a culture of knowledge-sharing and collaboration. Knowledge management initiatives are complex and time consuming. Moreover, their ROI cannot be easily established. The success of any knowledge management effort is dependent on leadership sponsorship, establishing a culture that encourages knowledge-sharing and collaboration, and creating a well-defined knowledge architecture supported by the right investments in knowledge processes and technology.

Key Takeaways

Essential components of a knowledge marketplace

Why knowledge management initiatives fail?

Six best practices for organizational success

Lesson 1: The knowledge marketplace approach

How should an organization develop an institutional knowledge management capability where the knowledge assets built are those that are in high demand to deliver differentiating value to its customers? The answer lies in creating a Knowledge Marketplace. A knowledge marketplace approach enables an organization to develop institutional capability where knowledge seekers (demand) and knowledge contributors (supply) come together in the knowledge market to build and sustain a self-creating, self-perpetuating, virtuous knowledge cycle.

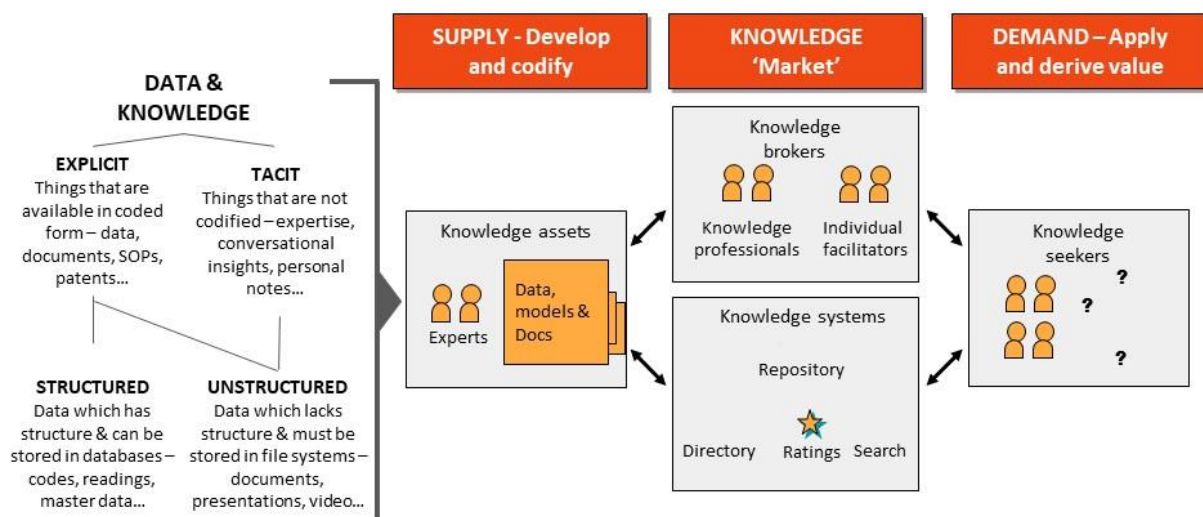
For example, a leading producer of specialty chemicals for healthcare was facing bimodal workforce challenges involving:

- A retiring R&D workforce and loss of expertise – *How does the enterprise harvest the know-how of decades of subject matter expertise?*
- Productivity gap among new scientists coming onboard – *What is the best path to enable institutional knowledge?*

By implementing a knowledge marketplace approach that codifies individual expert knowledge into documented institutional know-how, while simultaneously connecting the new scientists as consumers of the proprietary knowledge to become productive, the organization protected and improved its competitive advantage.

Vision for Knowledge Management

A 'market' approach helps create a virtuous cycle for knowledge



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The essential components of a marketplace should include:

1. **Knowledge objects (data and knowledge)** – Types of knowledge that an organization cares about and focuses on while building the knowledge base, emphasizing the proprietary knowledge assets of:
 - **Explicit content** – representing codified knowledge in the form of artifacts, algorithms, data, industry domain models, software and code libraries.
 - **Tacit knowledge** – representing the expertise, intuitive know-how and pattern recognition, rooted in experience and context.
 - **Structured data** – generally consisting of the data found in databases, associated with 'rows and columns'. This data usually comprises about 20 percent of an enterprise's total data.
 - **Unstructured data** – representing the knowledge assets in the form of text, diagrams, audio, video, streaming data, and more.
2. **Supply (knowledge contributors) and demand (knowledge seekers)** – Knowledge supply in the marketplace is the combination of experts and the different knowledge objects that are most valuable for the organization's

broader use. Knowledge seekers ensure that knowledge supply is in response to demand.

3. **The knowledge market** – This enables interplay and connection between supply and demand through knowledge brokers, who are knowledge professionals facilitating the best use of knowledge supply and demand in the marketplace; they are enabled by knowledge systems, in the form of the knowledge repository and search as the underlying technology infrastructure.

Lesson 2: Why knowledge management initiatives fail

As organizations embrace the knowledge economy and develop strategies and programmes to win in the digital age, it is not uncommon to find knowledge management initiatives underway in many organizations. However, many such initiatives still fail, for the following reasons:

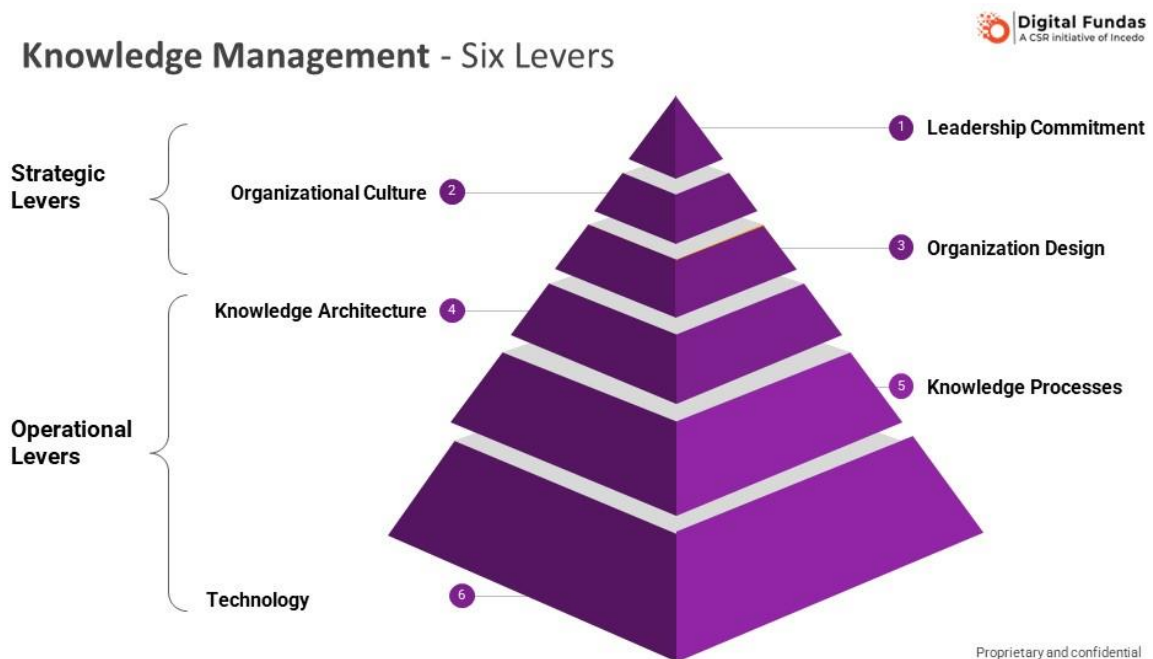
1. **Organizational culture** – Peter Drucker's famous phrase, 'Culture eats Strategy for breakfast', applies well to knowledge management. An organizational culture where the majority thinks 'this is how we have always done things' becomes a significant roadblock for the organization in shifting the mindset from 'knowledge is mine, why should I share?' to 'I will openly share and consume knowledge'. Incorporating knowledge management as a catalyst to an organization's digital strategy drives cultural change from the top and makes it systemic.
2. **Knowledge-specificity** – Viewing knowledge assets as general- purpose and abstract constructs invariably leads to a situation where they are available, but no one wants to use them. Useful and actionable knowledge assets are industry-specific, domain- rich, and should help improve in work performance.
3. **Knowledge cycle design and implementation** – A poorly designed and implemented knowledge cycle will result in a knowledge marketplace where knowledge assets become available but are of very little use. This points to a disconnect between demand and supply, or a disconnect in the processes that implement them. Methods for sustained adoption, continuous feedback for improvements, and a focus on those assets that deliver value and differentiation require effective governance and audit mechanisms.
4. **Return on investment (ROI) is elusive** – Expecting to immediately reap benefits from a short-term investment in a knowledge initiative and becoming disillusioned when the returns do not materialize is common. ROI from knowledge management initiatives is often hard to measure and can take a long time in coming, leading to executive disillusionment. A sustainable high-ROI programme will involve a two-speed approach, with speed 1 targeting tangible short-term goals and speed 2 building the foundation to scale up.

Lesson 3: Six best practices for organizational success

Nitin's insights:

A focus on what matters most, what represents proprietary knowledge, and a knowledge marketplace approach is essential, but these three elements by themselves cannot drive organizational change.

I have had the opportunity to be intimately involved in developing the knowledge management capability within McKinsey and also engaging with many clients on their knowledge management journeys. In my experience, there are six knowledge management best practices that are critical for driving sustainable change and momentum and in shifting the day-to-day operations in an organization where individuals are conditioned to having an attitude of 'this is how we do our work'.



1. Strategic levers

- Leadership commitment and explicit embedding of the strategic importance of knowledge aspirations in the strategy and values of the organization – A top-tier global consultancy embraces a knowledge culture through its leadership commitment: 'Knowledge is the lifeblood of the firm. We have easily doubled our investment in Knowledge over the past couple of years. If that means that we do 10- 15% less client work today, we are willing to pay that price to invest in the future.'
- An organizational culture that promotes sharing of knowledge and design of incentives for long-term career growth and promotions – An organization must have role models in the shape of leaders driving thought leadership and encouraging others to engage. Role-modelling on the part of leaders drives thought leadership and enables leveraging of in-house expertise rather than reinventing of the wheel each time. It demonstrates organizational commitment by moving high-quality professionals to lead knowledge initiatives, making them visible to the organization through consistent communication of the financial benefits and increased productivity. Successful

knowledge initiatives must be profiled with the same enthusiasm as business success stories are. Additionally, incentives are aligned to encouraging a culture of knowledge development and sharing.

- c. Organizational design – Incorporation of knowledge management deliverables and output into individual roles and responsibilities and performance measures: A best-in-class organizational design incorporates the enablers for knowledge management functions – research, knowledge development support, knowledge systems as centralized functions for economies of scale – anchored by experienced practitioners. It decentralizes practices in the functional areas of the organization that encompass dissemination of knowledge, sharing of best practices and learning agendas to develop new perspectives.

2. **Operational Levers**

- a. Knowledge architecture – Specificity of the knowledge domain is a crucial principle behind an effective knowledge architecture. Specificity results when the design principles of taxonomy and its structure are industry specific. A knowledge map brings it together by mapping the domain-specific areas and the assets under its scope. A well-designed knowledge architecture enables knowledge discovery, powered by search capabilities that can go beyond the classic keyword search to a cognitive search that can bring a variety of knowledge sources together, interpret the search's intent and personalize the results for relevance. Through policies and quality indicators, governance ensures that the knowledge assets in the knowledge marketplace are of high quality and will go through an editorial review process before publication.
- b. Knowledge processes – Processes and prescriptive methods for content creation and curation are critical enablers for codification of tacit knowledge from existing bodies of work and enforce a discipline for knowledge capture, standardization and availability. It sometimes involves special projects, such as building the right processes and methods, for curating a knowledge base of AI algorithms across an organization. Key supporting processes covering taxonomy management and audit mechanisms for ensuring relevance and high quality of content in the knowledge base at all times are critical to avoid the risk of the knowledge assets becoming stale and of diminished value to the users. A customized taxonomy organized by a functional area of a given industry or function and breaking it down to its next levels of subject matter, topics and assets, ensures a continuous cycle of methodical identification of knowledge gaps and the nature of knowledge demand in the organization.
- c. Technology – Digital technologies, including machine learning and AI, offer distinctive new capabilities for use in knowledge management platforms. Semantic search capabilities using NLP can interpret intent and draw relationships between knowledge assets to deliver the most relevant results. While the technologies represent multiple new possibilities in this space, it is vital to avoid the common pitfalls of such initiatives:
 - fragmented technology initiatives (disparate data sets, unique classification systems), leading to integration nightmares
 - multiplicity of access points (microsites, search tools), often creating a confusing end-user experience
 - Inconsistent and non-scalable architectures

By embracing best practices, focusing on initiatives that deliver high ROI, technology can effectively enable an organization's knowledge management vision and goals.

Nitin's conclusion:

Digital disruption offers unique opportunities for organizations across industries where winning in the global marketplace calls for developing strategies for competitive differentiation using proprietary knowledge as a strategic asset. To succeed in the digital age, every company needs to become a knowledge company. This is not an easy task, but those who are able to build a distinctive knowledge management culture and practices stand to gain long-term competitive advantage. Effective implementation of knowledge management approaches, combining the marketplace approach with the right strategic and operational levers for organizational change, will deliver superior business performance and value creation in the future.

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Chapter 7

Women in Leadership

Most technology companies employ a large proportion of women, varying from 25 percent to 45 per cent of their workforce. However, as you get to mid-senior management levels, this proportion drops dramatically. Diversity in the workforce is an imperative, not only to ensure that it is a good representation of society but also so that it is a driver of innovation, has the right balance of empathy and gives a better understanding of the buying behaviour of customers.

To drive better diversity representation, enterprises will need to create processes as well as changes in workplace design that help women employees manage maternity and their subsequent return to work, as well as help them to continue in the workforce as their responsibilities grow.

Key Takeaways

Why diversity is important

Why there are not enough women at mid-senior management levels

What should companies do to bridge the gap

Lesson 1: Why is diversity important?

Diversity is important because:

- It is not just a gender diversity agenda but a business agenda
- Men and women have different viewpoints and market insights, which enables better problem solving and different solutions, ultimately leading to better organizational performance. Statistically, 80 percent of consumer buying is influenced by women. A gender-diverse team better aggregates industry knowledge and allows the company to serve an increasingly diverse customer base.
- Diversity is natural and reflects the composition of the population. Just visualize a male-only organization or a female-only organization. Neither is likely to be an effective or interesting place to work in! Women who reach the top are less conventional and bring high empathy, creativity and innovation to the enterprise.
- The impact of diversity is backed by many research studies showing that organizations with higher diversity in senior roles deliver superior business results.
- In the digital age, when there is lot more complexity and volatility, and collaboration is a key success factor, diversity becomes even more important

Why are there not enough women at mid-senior management levels?

1. **Career losing momentum for women after maternity:** There seems to be an 'invisible cliff' on the path from junior- to mid- management where we lose a large proportion of women. This often coincides with women having their first or second child. The initial couple of years after childbirth are very challenging for women, most of whom find it difficult to balance the multiple responsibilities at work and at home, and their career loses momentum.
2. **Unintentional prejudices of the majority:** Men who are typically the majority in an organization often carry gender stereotypes or 'unintentional prejudices' from their homes to the workplace. There is often a typecasting of what jobs women would prefer and what they would not.
3. **Women carry subconscious biases:** Women often carry subconscious biases where they put limits and barriers on themselves. They often lack the self-belief and/or the aggression needed to push to the next level.
4. **Societal inequalities:** The root cause behind many of the issues we have observed above lies in the structure of the society in India and its deeply embedded expectations from the respective genders. If we go beyond the relatively privileged middle class in the big cities, education and growth opportunities for women are often limited. Even in the cities, while many women work, the expectations society has of the woman versus of the man, have not changed. Societal change will not happen overnight. However, unless we do something about it, we might not be able to move the needle significantly on gender diversity.

Lesson 2: What should companies do to bridge this gap?

Diversity : Women in leadership - translating intent to reality



Positive steps companies can take to bridge this gap

- ✓ Support for women after maternity
- ✓ Career support at mid-management level
- ✓ Catch them young
- ✓ Rethink practices and workplace design
- ✓ Change majority mindsets
- ✓ Steps to change the society

Companies should bridge the gender gap in the following ways:

- Support for women after maternity
 - Give women the power of career choice – don't impose your prejudices on them
 - Provide flex-working opportunities
 - Provide crèche facilities in or near office
- Career support at mid-management level
 - Identify sponsors who will champion a high-potential woman manager's case and help create opportunities for her.
 - Provide mentorship – this need not be just women mentoring women. Man-to-woman mentorship can sometimes work even better
 - Create networks of women for not just sharing best practices and for peer networking but also for exposure to senior management.
- Catch them young
 - Reach out to young women passing out of college to shape mindsets early
 - Provide mentorship to women even at junior levels in the organization
 - Raise awareness about role models
- Rethink practices and workplace design
 - Address possible intake bias through mixed gender panels – otherwise, 'men hire men'!
 - Bring gender sensitization to workplace design – most offices are of men, designed by men, for men!
- Change the majority mindset
 - Build the understanding that the discussion is not just about diversity but about inclusion too. This moves the discussion from 'form to substance'!
 - Raise awareness of 'unintentional prejudices'. Unless the majority mindset changes, inclusion will not happen
- Steps to change society
 - It is a difficult process, but corporate leaders need to step up and consider how they can make a difference.
 - Focus CSR (Corporate Social Responsibility) spend towards initiatives like education and care of the girl child.
 - Consider women-focused business initiatives – for example, Vodafone (Vi now) has opened all-women staffed 'Angel stores' since 2018.

Nitin's conclusion:

In conclusion, we as an industry do have a problem today when it comes to inclusion of women at senior management levels, and we need to address it. Fortunately, most companies seem to be very aware of the issue and are taking a number of positive steps to address the situation. This raises hope for improvement in female inclusion in management in the coming years. That will not just be very positive for our businesses and potentially a competitive advantage in the digital age but would also be a good contribution we can make towards a positive change in our society

Section 5

Transforming the Organization

Chapter 8

Lessons in Change Management

In the digital age, organizations have no option but to adapt to the rapidly changing environment.

- Despite the inevitability of change, many organizations have been struggling to drive effective change management programmes. Learn the seven best practices that form the critical ingredients of a successful change management programme.
- Overall, enterprises have to carefully craft and monitor the transformation process and use all possible levers to capture the hearts and minds of their people.
- The transformation journey should begin with setting clear change goals, help employees understand the implications of the change process, and celebrate quick wins to build momentum. Communication is a powerful enabler which, if used well, can have a great impact in galvanizing the change process.

Key Takeaways

Best practices in change management

Lesson 1: Best practices in change management

Change management is a story of many paradoxes. Change is inevitable, but very difficult to initiate and implement. Get it right, and you become a world-beater; get it wrong, and you can destroy a business built over many decades. It can be a source of energy for people or destroy their morale. And, when it comes to HR, change can even make you a hero or a villain!

I have had the opportunity to be centrally involved in change management across multiple organizations. It started in McKinsey, where I had the opportunity to transform the McKinsey Knowledge Centre from a back-office research centre into a cutting-end innovation centre. My change management journey continued at Fidelity International, then Flipkart, and now at Incedo. While the industry focus and the change management objectives have been different across the organizations I have been involved in, there have been some common lessons.

Change Management - How do you establish a Virtuous Cycle?



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1. **Focusing on the right type and amount of change.** While change is inevitable, leaders need to make a conscious choice to change those things that will produce the most impactful results. Change is inherently difficult, so it is important to focus one's efforts and not dissipate one's energy. Change for the sake of change does not help. For example, there is often an over-reliance on changing organizational structures as a way of driving performance change. In my experience, such changes cause a lot of heartburn while rarely fulfilling their promise. In addition, it is important to recognize that any organization has only a certain capacity to absorb change. Therefore, it is critical to prioritize and sequence change initiatives, so managers have clarity on what to focus on and equally the capacity to execute the changes. This is an area where my perspective, as a manager, has changed significantly from when I was a consultant. As a consultant, I was focused on getting all possible smart ideas on the table. As a manager, I realized that if you put too much on the table it will confuse your people. To ensure successful execution, you have to focus on a few, not many, ideas.
2. **Establishing 'why change?', clearly and persistently.** The biggest challenge in change management is to move people out of their 'comfort zones' and get them to truly accept the need for change. Inertia is inherent in human beings. We like predictability and certainty. We convince ourselves that what we are doing is the right thing. Moreover, it is hard for people to achieve the objectivity needed to question and change their daily routine while they are actively immersed in it. Therefore, it is critical that you establish the need for change clearly and persistently. It is important to go beyond the corporate logic and see the change from the perspective of the individual – why should he or she change, what can he or she do differently, and what will be the impact. In doing this, you have to appeal to both the head and the heart. Moreover, you need to be persistent in establishing the need for change. Rarely do people accept significant change at one go even if they say they do. You have to keep at it! If you are persistent, you can reach a tipping point when people finally get convinced about the need for change. That is perhaps the most important milestone in your change journey.

3. **Identifying change agents.** It is critical to have a core team of committed and inspiring change agents at the centre of the change programme. No leader, however inspiring, can drive significant change alone. You need to have force multipliers who will not only embrace the change themselves but evangelize it across the organization, those who will stay through the journey through its ups and downs. There are certain types of individuals who are more open to change – those who have high levels of personal confidence and a broader outlook. They are analogous to the ‘early adopters’ in marketing! In my experience, I have often found more change agents in the second line of management than in the first. The latter are often too vested in the status quo, while the former can see opportunities in the change.
4. **Focusing on some early wins:** Driving change is not just about strategy but also about tactics. You need to ensure some early wins. This will build credibility for your change agenda so that it is no longer merely conceptual but also tangible. It is not easy for people to agree to change when the status quo is disturbed. Moreover, people have an inherent distrust of words and respond much better to actions or outcomes that are concrete and visible. Early wins will work as compelling reference cases and help you gather momentum. They will help build understanding among the team about what you are trying to accomplish and encourage people to embrace the change.
5. **Going slow to go far:** While I have talked about early wins, it is important to recognize that organizations have a lot of inertia, and change, especially in mindset and behaviours, takes time. You have to be patient and persistent. Often, new managers rush to declare all that was done before them as rubbish in their frenzy to change everything. This is a recipe for failure. You have to take the time to fully understand the situation, especially the history and culture of the organization, and build trust with the people. The ‘Hare and Tortoise’ story is very relevant in change management. You need to take not a one or two-year view but a three-to-five-year view for achieving substantial change outcomes. I have experienced that progress at the two-year mark can be underwhelming, but if you are persistent, results in the three-to-five-year period can be outstanding. Therefore, you need to pace yourself and set realistic expectations. Do not lose heart. It is OK to lose or not fight a few battles. If you are persistent, results will come.
6. **Building a stakeholder coalition.** You need to understand the organizational politics and recognize the power centres and learn to work with them to achieve your change objectives. One of the key aspects of my corporate education has been recognition of the reality of organizational politics. Self-interest is an inherent aspect of human nature, so politics exists in all organizations and you have to be prepared for it. Moreover, organizational politics is not always bad; you can also use it for good (Lord Krishna from Indian mythology provides an excellent role model for using politics for good!). Any organization will have power centres, and people are very sensitive to cues from them. You can give your change programme a big boost if you can understand the motivations of the key stakeholders and find alignment and visible support from them. If you don’t, your change programme can get derailed very quickly.
7. **Communication, communication and communication.** Communication is absolutely critical. There are four aspects important in communication – keeping it simple, coverage of all levels, frequency and consistency, and openness and honesty. You need to articulate the need for change (why), your vision (what), and the benefits of the change for the organization and its individuals in a simple manner. Employees at all levels should be able to understand the messages and what they mean for them. Often, the messages

remain limited to the top levels and do not reach down the line; and if they do, they are articulated in ways that are not relevant for the majority of the staff. Moreover, you need to communicate often and be consistent in your messaging. When you are going through change, people feel insecure and have a high need to know. Repetition helps in such cases! Finally, you need to treat your people like mature adults and be open and honest with them, even if it is bad news you are bringing them. That works much better than trying to hide or soft-pedal any difficult messages.

Nitin's conclusion:

I hope these best practices help you play a positive leadership role in transforming your organization in this digital age. Please remember, change management is not just about the CEOs, HR or the senior management, but something that professionals at all levels can and need to play a role in. Change needs to happen across the organization. This presents opportunities for professionals at every level of the organization to step up and make a difference. If you aspire to develop as a leader, then be proactive and take ownership of the change opportunities around you. Don't let the size of the challenge weigh you down. Just be positive and focus on your karma. You will be surprised how much power your individual actions can have!

Section 5

Transforming the Organization

Chapter 9

How HR needs to transform itself to lead in the VUCA world

HR has a historic opportunity to play a pivotal role in helping organizations navigate through these uncertain times in the VUCA world. This is because the nature of challenges organizations face in the VUCA world requires many solutions to come from HR.

- Areas where HR should take the lead in driving change include - playing the role of culture champions, organizational redesign, resetting of learning and development strategies, driving new approaches to talent acquisition and engagement in the VUCA world.
- However, the HR function needs to make a number of changes to step up its impact, such as upgrading its own talent DNA, leveraging advancements in technology and data, and stepping up the positioning of its function in the enterprise.

Key Takeaways

What HR should champion

Five areas where HR should step up

Lesson 1: Historic opportunity for HR to lead

Key areas where HR needs to play its part:

1.
 - a. **Culture Champions.:** Building a more entrepreneurial and agile culture is a key requirement for enterprises to succeed in the digital age. HR needs to play the role of culture champions, working closely with the CEO to define the underlying values, embed them in all the processes, and ensure they are followed consistently, especially in times of crisis ('moments of truth').
 - b. **Organization redesign:** There are many forces at work impacting organizational design in the digital age. There is the pressure to move towards simplification to drive speed, the need to develop and manage a global delivery model, to create an extended enterprise that includes a variety of partners and stakeholders, and finally, to manage an increasing proportion of work done virtually (accelerated dramatically by the Covid-19 pandemic). HR has to bring science and method to this organizational design process, balancing the often-conflicting requirements.

- c. **Learning Reboot:** The scope and importance of learning have manifold dimensions in this digital age. In addition, the methods and technologies involved in learning are going through a complete transformation. At the same time, it is not easy to establish ROI for learning initiatives. HR leaders need to drive an upgrade of the learning function while ensuring it is well anchored to the organizational and business objectives.
- d. **New talent acquisition:** One of the key requirements of the digital age is for every organization to build a technology DNA. This, coupled with the fast pace of technology changes, means that acquisition of high-quality tech talent is a priority for most enterprises. The increasing requirements of diversity adds another dimension to talent acquisition. Talent sourcing, which has historically been an execution-oriented function, is now a strategic, mission-critical capability.
- e. **Employee engagement.** Historically, enterprises have talked about being 'customer-centric'. My view is that in the digital age enterprises need to have a dual mission – to become both 'customer-centric' and 'employee-centric'. The expectations, the new workforce – millennials, technology talent, knowledge workers – have of the organization are also very different from before. Plus, many digital natives have set the bar very high in the matter of employee engagement. This means HR needs to be very creative and purposeful in engaging employees across their life cycle.
- f. **Leadership development.** The VUCA world we are living in puts immense pressure on enterprise leaders. They need to navigate the enterprise through immense change; they have to step up their own game on many fronts; and they have to be resilient to absorb the knocks they will inevitably face in such an uncertain environment. HR needs to play counsellor to the leaders and also be a connector, helping the team come together.

HR not able to keep pace

As things stand, HR works with multiple handicaps and is struggling to keep pace with developments in the environment. It is on the back foot on many fronts. There is a negative cycle of mindsets/ processes/capabilities falling short, leading to perception issues, which makes it even more difficult for the enterprise to attract top-notch talent:

- - **Legacy mindsets:** The traditional orientation in HR is a command-and-control model; it tries to exercise control and focuses on compliance of organizational processes. This might not appeal to the knowledge worker who is looking for greater autonomy and flexibility.
 - **Heavy processes and systems:** HR systems and processes face a couple of unique problems:
 - *Traditional models and frameworks which are inflexible and clunky and difficult to apply seamlessly in the rapidly pivoting business environment:* For example, annual goals and KPIs may not make sense when priorities are shifting every few months. There is an urgent need to recast performance management systems (PMS) and HR systems because their current construct is limiting for fast-moving organizations.
 - *Regulatory limitations, which require manual interventions, coupled with archaic labour laws:* These need to be adapted to the changing needs of businesses.

- *Most organizations haven't even started to review their processes to address contract worker experience.*
- **Limited leverage of analytics and technology:** Employees are the most valuable and critical of resources of the enterprise. Most HR functions don't spend sufficient time and resources on talent analytics. Even if they do, the effort is sub-par, for the following reasons:
 - *Shift in mindset required:* The reporting metrics need to shift from proving that the function is working efficiently to focusing on information that will be relevant to help the business/function perform better or take better decisions.
 - *Better technologies and models are required to help consolidate the data flowing in from various employee touchpoints:* Many HR-focused start-ups have been coming up, especially in sentiment analysis and virtual chatbots. However, there is a long way to go for these technologies to be leveraged properly.
 - *Finally, HR must develop the skills to go beyond reporting data to using analytics for forward-looking projections:* For example, they can make projections on attrition or use data to identify employee issues, or interpret data for pattern-recognition for other purposes, for which business context is required.
- **HR talent DNA and capabilities falling short:** For this reason, HR talent is often not able to connect with business leaders as peers. Relationships often regress into order-taking on the part of HR. Currently, there are three key gaps in HR capabilities:
 - **Follower-versus-change agent orientation** – Historically viewed as a support function, HR is something many firms choose to compromise on when it comes to costs and hiring high-quality talent. As a result, the typical HR team consists of individuals who are probably good doers but will not demonstrate a contrarian point of view, instead tending to execute without questioning.
 - **Limited investment** – Some firms go half-way, with a view to spending the necessary dollars on hiring the right HR leaders, but make cost trade-offs at junior levels, which again delivers limited results because the leaders' impact will come to a grinding halt over time because of their inability to delegate.
- **Poor speed and bias for action:** HR teams often do not keep pace with the business expectations. To address this, the HR team has to step out of the mindset of measuring impact in terms of the effort put in rather than from the perspective of actual business outcomes.
- **HR often taken for granted:** This is an issue of perception. Often the HR function is taken for granted. A lot of good work done by the function is not fully appreciated. Even if it has a 'seat at the table', HR is treated as a support function. This leads to lack of motivation among the team, making it difficult for the function to attract top-notch talent.

Lesson 2: HR needs to step up in the following five areas

HR has a significant role to help enterprises realize digital ambition



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HR talent profile

- HR leaders have the opportunity to be coach, sounding board and change guide for CXOs. This must be planned.
- For this to happen, HR leaders need to evolve from being SMEs (Subject Matter Experts) with HR functional skills and become leaders with deep business understanding and agility.
- The current skill gap is significant. The function needs a new generation of business oriented CHROs.
- Movement of line leaders into the CHRO role must be encouraged. Stepping up the importance of the role to bring it on par with CFO and a steppingstone to CEO/other CXO roles, would be a good idea.
- Strengthening of business understanding of the next line of HR leaders through stretch projects in business, co-ownership of business results, and cross-pollination of talent between HR and business, must be encouraged.

Use of data and technology

- In line with the movement on the business side towards customer segmentation and now to individual-level personalization, similar opportunities exist on the employee side.
- The new mantra for employee engagement is EVP to IVP (employee value proposition to individual value proposition)!
- Analytics and technology can facilitate individual level understanding of employee needs and customization of interventions accordingly, e.g., a flexible rewards mix, learning and development.
- Analytics can also play a crucial role in talent retention, e.g., through pulse tracking, predictive models and early warning systems.

The technology focus has to move from back-end systems to omni-channel employee engagement

Learning and development

- The key challenge – how to make L and D relevant to the business, especially when it is moving very fast. {L and D actions are covered in detail in Chapter 5 of the Section}
- Actions to enable key needs:
 - Enabling rapid reskilling to adapt to changing business needs
 - Developing leaders internally, with a focus on soft skills
- Finding a way to leverage the rapid changes that are happening in education delivery for internal L and D using external networks, content curation, MOOCs, internal wikis/leader blogs.

Managing deep tech talent/high-end knowledge workers

- HR processes are typically designed to manage scale. With rapidly evolving technologies all around us, HR needs to learn to manage deep tech talent.
- Due to the aggressive job market, there is a consistent war for high-quality talent. Therefore, both recruitment and retention are a challenge.
- Expectations of deep product/tech talent are different from those of regular talent, and therefore HR would need to customize its approach business-wise.
- High expectations – in the current scenario there is a high premium on differentiated career development and rewards, based on impact/potential and individual motivations. HR needs to change its one-shoe-fits-all approach and adopt targeted approaches.
- Emotional connect – we need to build passionate, inspiring leadership that can embrace and evangelize the new culture.
- Fairness and transparency – this result from building inclusive HR processes that are fair.

Building a distinctive culture

- A distinctive culture is key to building a sustainable organization in the VUCA world. Culture is a common theme across the eight paradigms I have shared earlier.
- HR has to play the role of culture champion, helping define, then uphold, the culture at the firm.
- It is important that culture initiatives go beyond the buzzwords and address the key tensions in behaviours.
- Upholding the culture that has been decided upon can bring HR into conflict with business functions. Alignment with the CEO here is very necessary.
- HR processes from recruitment to performance management to employee engagement are important “culture carriers”. It is critical that the key values for the enterprise are embedded into all the HR processes. Employee experience with these processes makes the culture real!

Nitin's conclusion:

There is a historic opportunity for HR to step up and play a critical leadership role in helping organizations transform and succeed in the VUCA world. The nature of challenges organizations (both legacy and new) face in the VUCA world are such that a significant proportion of solutions has to come from HR. If HR can step up and provide these solutions, it would be a great service to organizations as well to the HR function itself, uplifting its impact and stature in the enterprise.

I hope the insights I have shared provide some helpful pointers and help spark constructive debate among boards and executive teams, eventually helping step up the capabilities and impact of the HR function.